

depends on a confluence of other events. This time political considerations played a major role: Reagan had lost his political luster, and the 1988 elections were approaching. When downward pressure on the dollar was renewed, the stock market's internal instabilities converted a decline into a rout.

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*Analysts generally regard the stock market as the passive reflection of investors' expectations. But in fact, it is an active force in shaping them.*

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The first crack came when a widely followed Wall Street guru, the technical market analyst Robert Prechter, issued a bearish signal before the October 6 market opening. The market responded with a resounding fall of 90 points. This signaled underlying weakness in the market, but similar incidents had occurred in 1986 without catastrophic results. The situation deteriorated further this time when the dollar also started to weaken. On Tuesday, October 13, Alan Greenspan, chairman of the Federal Reserve Board, announced that the trade balance was showing an "extraordinary" structural improvement. So the figures published on Wednesday, October 14, which showed an improvement in the trade deficit only half as much as expected, proved all the more disappointing. The dollar experienced severe selling pressure.

Pursuing unsterilized intervention would have required an increase in interest rates—one that would need to be all the larger because of the earlier increases in Japan and West Germany. U.S. authorities were not willing to undertake such a tightening; and by Thursday, October 15, as the stock market continued to decline, Treasury Secretary James Baker was reported to be pressing Bonn to lower West German interest rates or else face a further fall in the dollar. The stock market decline continued to accelerate amid reports that the House Ways and Means Committee was planning to